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4. What is meant by journalising?
5. What is real account?
6. How are personal accounts classified?
7. State the accounting rule for nominal account.
8. Give the golden rules of double entry accounting system.

III Short answer questions

1. Write a brief note on accounting equation approach of recording transactions.
2. What is an Account? Classify the accounts with suitable examples.
3. What are the three different types of personal accounts?
4. What is the accounting treatment for insurance premium paid on the life of the proprietor?
5. State the principles of double entry system of book keeping.
6. Briefly explain about steps in journalising.
7. What is double entry system? State its advantages.

IV Exercises

1. Complete the accounting equation

(a)	Assets	=	Capital	+	Liabilities
	` 1,00,000	=	` 80,000	+	?
(b)	Assets	=	Capital	+	Liabilities
	` 2,00,000	=	?	+	` 40,000
(c)	Assets	=	Capital	+	Creditors
	?	=	` 1, 60,000	+	` 80,000

2. For the following transactions, show the effect on accounting equation.

(a) Raj Started business with cash	` 40,000
(b) Opened bank account with a deposit of	` 30,000
(c) Bought goods from Hari on credit for	` 12,000
(d) Raj withdrew cash for personal use	` 1,000
(e) Bought furniture by using debit card for	` 10,000
(f) Sold goods to Murugan and cash received	` 6,000
(g) Money withdrawn from bank for office use	` 1,000